

Professional Skepticism—Issues

Background and Introduction

Professional Skepticism and International Standards

1. The International Standards on Auditing (ISAs) define professional skepticism as “an attitude that includes a questioning mind, being alert to conditions which may indicate possible misstatement due to error or fraud, and a critical assessment of audit evidence.”¹ The ISAs explicitly require auditors to exercise an appropriate level of professional skepticism throughout the audit – i.e., during engagement acceptance; as part of identifying and assessing risks of material misstatement; in designing the nature, timing and extent of audit procedures; and in forming an opinion on whether the financial statements are prepared in all material respects in accordance with the applicable financial reporting framework.
2. Professional skepticism is necessary to the critical assessment of audit evidence. It is also closely interrelated to the fundamental concepts of auditor independence and professional judgment and contributes to audit quality. Though most prominently dealt with in the ISAs, professional skepticism is addressed in the International Ethics Standards Board for Accountants’ *Code of Ethics for Professional Accountants* (IESBA Code)² and the International Accounting Education Standards Board (IAESB) standards.³ **Agenda Item 10-C** further discusses considerations in the ISAs and ISQC 1⁴ that are relevant to the proper understanding and application of professional skepticism during an audit of financial statements in a Staff Publication that was issued in February 2012.

Calls for Enhancing Professional Skepticism

Inspection Reports and Reviews

3. Audit inspection reports of audit oversight authorities have identified issues about the level, and consistency, of professional skepticism being applied in audits, in particular in areas that require high levels of professional judgment. Inspectors have observed that, in those areas, there is often insufficient documentation of the auditor’s considerations (e.g., alternatives considered, robustly challenging management’s assumptions, etc.) to evidence that professional skepticism was

¹ ISA 200, *Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with International Standards on Auditing*, paragraph 13(l)

² The IESBA Code explicitly mentions the term professional skepticism in a number of places including in the definition of “independence” – both independence of mind, and independence in appearance. There is also a perceived connection between professional skepticism and the fundamental principle of objectivity, though there is not an explicit reference.

³ International Education Standards (IES) 4, *Initial Professional Development – Professional Values, Ethics, and Attitudes*, prescribes learning outcomes that aspiring professional accountants should achieve in developing professional skepticism and professional judgment. IES 8, *Professional Competence for Engagement Partners Responsible for Audits of Financial Statements*, prescribes the learning outcomes for professional skepticism and professional judgment that engagement partners are expected to develop and maintain through continuing professional development. Both standards emphasize that effective development of professional skepticism needs to include learning methods such as mentoring, reflective activity, and practical experience within the context of a work environment.

⁴ International Standard on Quality Control (ISQC) 1, *Quality Control for Firms that Perform Audit and Reviews of Financial Statements, and Other Assurance and Related Services Engagement*

appropriately applied, or to support the auditor's opinion on the financial statements.⁵ These inspection findings are consistent with the findings of the IAASB's own ISA Implementation Monitoring project.⁶

National Initiatives

4. At the national level, jurisdictions are also undertaking initiatives related to enhancing auditors' application of professional skepticism. For example:
 - (a) In a follow up to a 2010 Discussion Paper titled, [Auditor Skepticism: Raising the Bar](#) and the subsequently released [Feedback Paper](#), the U.K. Financial Reporting Council (FRC) set out its views on the on the topic in a publication titled, [Professional Skepticism, Establishing a Common Understanding and Reaffirming its Central Role in Delivering Audit Quality](#). The FRC publication notes the importance of ensuring a consistent understanding of the nature of professional skepticism and its role in the conduct of the audit. Amongst other things, the FRC publication addresses the philosophical origins of skepticism and sets out views about the conditions that are necessary for auditors to demonstrate the appropriate degree of professional skepticism, highlighting expectations for the individual auditor, engagement teams, audit firms and the supporting role that can be played by others, including preparers and audit committees.
 - (b) The US Public Company Accounting Oversight Board (PCAOB) issued a [Concept Release](#) (CR) in August 2011 to solicit views about ways that auditor independence, objectivity and professional skepticism could be enhanced. In that CR, questions were raised about whether existing client service relationships, in particular long-term ones, affect auditors' application of professional skepticism in audits, and whether some auditors simply accept the fact that management is honest and prepare the financial statements accurately.
 - (c) A June 2014 CPA Australia publication, [Professional Skepticism: Looking Both Ways on a One Way Street](#), notes that at the core of professional skepticism is "professional courage." The paper notes that "...adopting skepticism and helping teams of young professionals to apply a critical approach is about setting the right environment to foster 'professional courage'," and that "...you can't be sufficiently skeptical without sufficient competence in your abilities, competence and position."

Academic Research

5. A number of publications and academic research have also suggested the need for more initiatives

⁵ [IFIAR Report on 2014 Survey of Inspection Findings](#), March 3, 2015. This issue is not new. In their 2012 Report, 17 of the 22 IFIAR members that provided information regarding their inspection of listed public interest entities audit engagements cited the auditor's lack of professional skepticism as a possible cause for audit deficiencies. Also in 2012, the most frequently cited significant challenge and audit quality issue among IFIAR members was a lack of professional skepticism by auditors.

Also, in its publication [Conclusions from the PIOB Public Interest Workshop](#), September 2014, the PIOB noted that "professional skepticism, as a state of the mind and attitude, should govern the performance of auditors, and inspire the attitude of other accountants, e.g., accountants in business. When accountants (practitioners, non-practitioners, accountants in business) do not display proper professional skepticism it is recognized as a barrier to effective performance."

⁶ In July 2013, the IAASB issued a report, [The Clarified ISAs—Findings from the Post-Implementation Review](#), highlighting the findings of its efforts to learn whether the clarified ISAs are being consistently understood and implemented in a way that achieves the IAASB's goals in clarifying and revising them. This report summarizes the feedback from those most directly involved in the audit process in jurisdictions that have implemented the clarified ISAs.

aimed at enhancing professional skepticism. For example, **Agenda Item 10-B** includes a 2013 released study commissioned by the Standards Working Group of the Global Public Policy Committee. This study notes that various definitions of, and perspectives on professional skepticism exist and, as a result, there is a lack of common understanding or practical guidance on what professional skepticism is and how it can be demonstrated and documented.⁷ The paper also notes that it is important for audit firms and other stakeholders in the financial reporting process including preparers, those charged with governance (e.g., audit committees), regulators and audit oversight authorities as well as standard setters to undertake cooperative efforts towards enhancing professional skepticism.

6. Also, an academic paper that resulted from IAASB-commissioned research indicated that factors such as cost (e.g., budget overruns/conflicts with management); hindsight bias,⁸ time constraints; and audit firm rewards influence auditor's exercise of professional skepticism.⁹

The IAASB's Response

7. The IAASB has been taking steps towards re-emphasizing the importance of professional skepticism in audits of financial statements in the ISAs since its Clarity Project, which was completed in 2009. Since that time, the IAASB agreed that professional skepticism would continue to be a focus of its future projects, but not necessarily as a discrete standard-setting project.
8. The current IAASB's [Work Plan for 2015–2016](#) (the Work Plan) notes that efforts towards enhancing the level of professional skepticism exercised in audits will continue to be an important IAASB initiative during 2015 and beyond. However, from a standard-setting perspective, the topic will be explored in conjunction with the IAASB's planned projects on quality control, group audits and financial institutions rather than as a separate and discrete project. This is consistent with the IAASB's approach on its recently completed auditor reporting, other information, and disclosures projects. In those recently and soon to be released new and revised ISAs, more explicit references have been made to professional skepticism.¹⁰
9. As noted in **Agenda Item 10**, a WG with representatives of three boards – IAASB, IESBA and IAESB – has been established to provide the necessary platform for collaboration among the independent

⁷ The suggestion to amend the definition of professional skepticism in the auditing standards was also included in an article titled, [Auditors Still Challenged by Professional Skepticism: Recommendations for Firms, Standard Setters and Regulators](#) that was published in the January 2015 edition of The CPA Journal. The article also provides a historical overview of the concept of professional skepticism.

⁸ "Hindsight bias prompts evaluators to penalize staff auditors for skeptical behavior when no misstatement is found and reward them when a misstatement is found. Interestingly, participants in all conditions indicated a strong belief that the inconsistency should have been investigated. This means that despite the fact that the participants all agreed that the matter under consideration warranted additional investigation, the staff auditors that found no misstatement still received significantly lower evaluations." See Brazel, Joseph F.; Jackson, Scott B.; Schaefer, Tammie J.; Stewart, Bryan W. *Hindsight Bias and Professional Skepticism: Does the End Justify the Means?* (November 2013).

⁹ This research was included in **Agenda Item 10-A** of the March 2015 IAASB meeting materials that summarize the findings of the research on various topics, including professional skepticism, that was performed in round 2 of the *Informing the IAASB Standard Setting Process Research Program* organized by the International Association for Accounting Education and Research (IAAER), KPMG International and the KPMG Foundation, and the IAASB.

¹⁰ For example, ISA 700 (Revised), *Forming an Opinion and Reporting on Financial Statements*, requires the inclusion of the statement, "As part of an audit in accordance with ISAs, we exercise professional judgment and professional skepticism throughout the audit" in the Auditor's Responsibilities for the Audit of the Financial Statement section of the auditor's report.

standard-setting boards to determine next steps with respect to professional skepticism.

WG Objectives and Activities

Objective of the WG

10. The key objective of the WG is to make recommendations to the IAASB on how to more effectively respond to issues related to professional skepticism. This includes providing updates on the WG's activities to the IAASB and the IAASB Consultative Advisory Group (CAG) as deemed appropriate. It may also be appropriate for the WG to provide updates to IESBA and IAESB and recommend actions as deemed appropriate.
11. As discussed at **Agenda Item 8**, the Chair of the WG is a member on the IAASB's Audit Quality Enhancement Coordination Working Group. A summary of the June 2015 Panel Discussion on the topic of professional skepticism will be included in the December 2015 Combined Discussion Paper.

Activities of the WG

12. The IAASB also acknowledges that the concept of professional skepticism is closely linked to fundamental concepts of auditor independence and professional judgment, and contributes to audit quality. With the establishment of the WG, the IAASB plans to work collaboratively with IESBA and IAESB to further explore what more could be done with respect to professional skepticism, including determining whether further standard-setting is warranted by:
 - (a) Engaging in dialogue with key stakeholders to further understand their views (e.g., June 2015 panel discussions, 2015-2016 planned roadshows discussed in **Agenda Item 8**).
 - (b) Reviewing relevant research, findings and recommendations from academics, regulators, and others.
 - (c) Soliciting public input on views received, including on the summary of the June 2015 Panel Discussion.
 - (d) Developing materials to better explain how the requirements in the ISAs relating to professional skepticism should be applied.
 - (e) Monitoring the activities of others with respect to professional skepticism, to determine the most appropriate actions for the IAASB, as well as the timing of those actions.
 - (f) Collaborating with others, when appropriate, to determine what could be done beyond standard-setting to better assist and encourage auditors to apply professional skepticism in conducting their audits.

Matters for IAASB Consideration

1. The IAASB is asked to share its views about the WG's planned activities, including its objective.

Issues Identified to Date

13. *Professional Skepticism is a Complex Issue with a Behavioral Aspect.* The topic of professional skepticism has a psychological dimension that makes the concept very complex, and addressing it very difficult. It is also acknowledged that the application of professional skepticism is influenced by

personal traits (i.e., attitudes and ethical values); as well as state-specific aspects of audits ((i.e., knowledge and experience of individual auditors, incentive systems, etc.).¹¹

14. *Is Auditor Lack of Professional Skepticism a “Catch All”?* One NSS representative was of the view that audit inspection reports often cite the auditor's lack of professional skepticism as a finding in cases when an issue was identified, but there was not a more specific auditing standard/requirement violated. In other words, findings categorized as relating to failure to apply professional skepticism can be viewed as a “catch all” category for audit areas that are not addressed in the auditing standards.
15. *Standard-setting Alone is Not Enough.* The IAASB CAG is of the view that the level of professional skepticism exercised by an auditor on an engagement team is influenced by education, training and experience of the individual; the actions of the firm's leadership; and the actions of the engagement partner; as well as the culture and business environment of the firm.¹² Accordingly, actions beyond just standard-setting are needed to appropriately address the concerns that have been raised and to enhance auditors' exercise of professional skepticism.¹³

Matters for Panelists' Consideration

16. Consideration of the following questions as part of the June 2015 Panel Discussion will inform the WG and the IAASB on what the possible next steps of the WG could be with respect to professional skepticism.
 - (a) What exactly is meant by the observation that “an auditor lacks professional skepticism”, and how do audit oversight authorities determine that an inspection finding is due to a lack of professional skepticism?
 - (b) Should the description of professional skepticism in the ISAs be reconsidered? For example, is more discussion about professional skepticism needed in the ISAs beyond what is in for example, ISA 200, ISA 240,¹⁴ ISA 500,¹⁵ ISA 540¹⁶ and the newly revised ISAs, including ISA 700 (Revised), to explain how professional skepticism affects the auditor's risk assessment, identification of, response to, and evaluation of significant risks?
 - (c) What does the term professional courage mean to you (see paragraph 4(c)), and do you agree that there is a linkage to professional skepticism in the context of an audit of financial statements? Should more be done to foster professional courage among auditors, and, if so, by whom?
 - (d) What role, if any, should other stakeholders in the financial reporting cycle (e.g., those charged with governance and audit oversight authorities) play in enhancing auditors' exercise of professional skepticism?

¹¹ Academic research indicate that “traits” are invariant and can only be addressed via awareness, reflection etc., while “state-specific aspects” can be influenced on the firm, engagement or individual level.

¹² See minutes of the [September 2011 IAASB CAG meeting](#).

¹³ The IAASB CAG will further consider the topic of professional skepticism at its September 2015 meeting.

¹⁴ ISA 240, *The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements*

¹⁵ ISA 500, *Audit Evidence*

¹⁶ ISA 540, *Auditing Accounting Estimates, Including Fair Value Accounting Estimates, and Related Disclosures*

- (e) The academic community has released a number of experiential studies and research that offer helpful perspectives at a conceptual level about professional skepticism (e.g., see paragraphs 5–6). However, they often do not relate to, or align with how the term is used in the ISAs. Should these concepts be incorporated in determining a way forward, and what steps should be taken to make the relevant aspects of this information readily available and easily digestible among auditors and other stakeholders, including standards setters?

Matters for IAASB Consideration

2. The IAASB is asked to consider panelists' presentations and raise any questions that they may have.

Next Steps

Research Synthesis

17. There have been two major syntheses of academic research papers related to professional skepticism released in 2013¹⁷ and 2009.¹⁸ The 2013 academic synthesis was developed at the request of the PCAOB. Because there has not been research on the topic of professional skepticism either released, or ongoing, since 2013 there is merit in the IAASB commissioning an academic researcher to summarize academic research on the topic since the release of this 2013 paper.
18. With assistance of the International Federation of Accountants (IFAC), Staff has identified an academic who could potentially assist with this syntheses of research related to professional skepticism. Subject to reactions from the IAASB, the WG plans to coordinate the commencement of this work in July 2015, which would be completed by September 2015.

Discussion Paper

19. Staff is of the view that the Combined Discussion Paper (see **Agenda Item 8**) to be released in December 2015 provides an opportunity for the IAASB to set forth its initial views on the topic of professional skepticism, including by summarizing the feedback from June 2015 Panel Discussion and the synthesis of research.

Matters for IAASB Consideration

3. The IAASB is asked to provide views in relation to the next steps discussed in paragraphs 17–19.

¹⁷ Kathy Hurr, Helen Brown-Liburd, Christine E. Earley, and Ganesh Krishnamoorthy. *A Journal of Practice & Theory* Vol. 32, Supplement 1, *Research on Auditor Professional Skepticism: Literature Synthesis and Opportunities for Future Research*, 2013.

¹⁸ Mark W. Nelson. *A Journal of Practice & Theory* Vol. 28, No. 2, *A Model and Literature Review of Professional Skepticism in Auditing*, 2009.